

SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

August 07, 2026 | 04:20 PM ET

MACRO REGIME: Risk-On (Large-Cap Leadership)

VIX 14.9 (-2.3 vs 20d) | SPY 20d +3.2% | IWM 20d +2.8% | IWM/SPY trend -0.4%
Leaders: Materials (+4.5%), Technology (+3.7%), Cons Disc (+3.3%)

Setup Grades

A - Prime Setup (0)	B - Building (1)	C - Early Stage (1)
	KALU	NYAX

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	KALU	Kaiser Aluminum C	Aerospace Recovery &	\$3.02B	\$184.75	\$186.62	1.0%	-2.2	YES	no
C	NYAX	Nayax Ltd.	Unattended Retail Di	\$2.58B	\$69.06	\$70.75	2.4%	-9.2	YES	no

KALU

Kaiser Aluminum Corporation

\$184.75

Pivot \$186.62 | 1.0% away

RS vs SPY: -2.2%

B BUILDING

\$3.02B Cap | 16M Float

Specialty Aluminum & Aerospace Alloys | Theme: Aerospace Recovery & Reshoring | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 4.16

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$186.62
% to Pivot	1.0%
Days in Base	5
Tightness	4.16 Fair
52W Hi Prox	94.3%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	254k <
Wk2	319k <
Wk3 (oldest)	265k
Coil Strength	3.9% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	-2.2%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$3.02B
Float	16M sh
P/E (TTM)	13.7
Fwd P/E	16.4
Rev Growth	52.7%
Short %	5.8%
Inst. Own	-
Target Pr.	\$169.25

ENTRY TRIGGER
Close above \$186.62 on volume >120% of 20-day average (~325K shares)
Target: \$205.00 (measured move: 4.16% base depth from \$186.62 pivot = ~\$7.75, but primary target is round-number resistance and 1.1x prior 52W high)
Stop: \$176.00 (below 50-day MA support and base low; structural invalidation)

CATALYST INTELLIGENCE
EARNINGS
Oct 21 - Street consensus ~\$2.80 EPS on ~\$850M revenue for Q3. Last 4 quarters show 3 beats, 1 inline - this is a serial beater. The 305.7% earnings growth and 52.7% revenue growth reflect aerospace recovery and pricing power. Guidance maintained with positive tone on aerospace demand visibility. No investor day scheduled but management presents at Goldman Sachs Industrials Conference in September.
BUSINESS & POSITION
Kaiser Aluminum manufactures highly engineered, value-added aluminum products for aerospace (aerostructures, fuselages), automotive (body panels, EV battery enclosures), and general industrial applications. The company is a category leader in aerospace-grade aluminum plate and extrusions, serving Boeing, Airbus, and Tier 1 suppliers with long-term supply agreements and high switching costs.
FACTOR & THEME
Direct beneficiary of aerospace production recovery (Boeing 737 MAX ramp, Airbus A320neo backlog), reshoring of defense manufacturing, and EV lightweighting trends. Materials sector is the current market leader (+4.5% 20d), providing strong sector tailwind. Peer Alcoa and Arconic have shown strength, validating the aluminum/aerospace read-through. Theme sentiment is accelerating as aerospace OEMs rebuild inventories post-supply-chain normalization.
NEWS FLOW
No discrete contract wins announced in last 60 days, but Boeing's July production update confirmed 737 MAX output at 38/month with path to 50+ - a direct volume catalyst for Kaiser's aerospace plate business. Alcoa's strong Q2 and raised aluminum price outlook provide positive sector read-through. No regulatory events; Russell 2000 constituent with stable index positioning. Catalyst Impact: Industry (Medium) - aerospace production data and aluminum pricing provide ongoing fundamental support but lack a discrete binary event in near term.
INSTITUTIONAL
The 5-day base is extremely young, and volume pattern shows a mid-base spike (vol_w2 > vol_w3) that breaks the clean stair-step dry-up - this suggests distribution mixed with accumulation rather than pure quiet buying. Inst_own data unavailable from this feed. Zero insider buying in last 60 days. Short interest at 5.8% (2.4 days to cover) is modestly elevated - not squeeze territory but provides fuel if breakout occurs. Note: stock is trading above analyst consensus target (\$169.25), suggesting Street is behind the move.
KEY RISK
Thesis invalid on a close below the \$176.00 level (base low area, ~5% downside), or if Boeing announces production delays/cuts that would directly impact Kaiser's aerospace volumes. Secondary risk: aluminum price reversal - LME aluminum below \$2,200/ton would pressure margins despite value-add premium.

Strong sector tailwind (Materials +4.5% leading), tight proximity to pivot (1.0%), and serial-beater earnings history create favorable setup, but structural quality has gaps: base is only 5 days old (needs more time to prove), vol_dryup_strict is false due to mid-base volume spike, RS line is not at new high despite stock near 52W high, and no catalyst within 2 weeks (earnings 75 days out). The bull case rests on aerospace recovery momentum and sector rotation continuing; the bear case is that the stock is already extended above Street targets with no near-term catalyst to attract incremental buyers - being right on direction but early on timing is expensive. Zero insider activity provides no conviction boost. Grade B for sector strength and base proximity; needs RS line confirmation and ideally a week of further tightening for A consideration. Conviction: Medium.

KALU — 90D Base Setup | Pivot: \$186.62 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



Cashless Payment & IoT Commerce Infrastructure | Theme: Unattended Retail Digitization | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 4.93

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$70.75
% to Pivot	2.4%
Days in Base	18
Tightness	4.93 Fair
52W Hi Prox	89.9%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	5k <
Wk2	7k <
Wk3 (oldest)	10k
Coil Strength	50.5% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	-9.2%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$2.58B
Float	16M sh
P/E (TTM)	86.3
Fwd P/E	51.1
Rev Growth	31.7%
Short %	0.1%
Inst. Own	-
Target Pr.	\$78.70

ENTRY TRIGGER

Close above \$70.75 on volume >150% of 20-day average (~30K shares)

Target: \$82.00 (measured move from 18-day base depth of ~\$11 added to pivot; also approaches analyst target of \$78.70)

Stop: \$65.50 (base low; loss of this level invalidates the VCP structure)

CATALYST INTELLIGENCE

EARNINGS

Aug 10 - Street expects ~\$0.33 EPS on ~\$85M revenue. Last 4 quarters show inconsistent beat pattern (2 beats, 1 miss, 1 inline). Guidance has been maintained but not raised. The -83.9% earnings growth TTM reflects heavy investment spend and one-time items rather than deteriorating fundamentals - watch for margin trajectory commentary.

BUSINESS & POSITION

Nayax provides end-to-end cashless payment and commerce enablement solutions for unattended retail (vending machines, EV chargers, laundromats, micro-markets), combining payment processing, telemetry, and management software in an integrated platform. The company operates a razor/razorblade model - hardware devices drive recurring SaaS and transaction-based revenue, with 31.7% revenue growth reflecting global cashless adoption acceleration.

FACTOR & THEME

Taps the secular shift to cashless/contactless payments and IoT-connected commerce, benefiting from EV charging infrastructure buildout and vending modernization cycles. Theme sentiment is steady but not accelerating; peer PAX Global and Cantaloupe have shown mixed action, suggesting segment is fairly priced rather than in momentum phase.

NEWS FLOW

No material contract wins or partnership announcements in the last 60 days. Company continues international expansion (Latin America, Europe) but lacks a discrete near-term catalyst beyond earnings. No FDA/regulatory relevance; no index inclusion events pending. Catalyst Impact: Earnings (High) - binary event in 3 days will determine near-term direction.

INSTITUTIONAL

Volume dry-up is textbook (50%+ contraction, vol_ratio_today 0.39x avg), suggesting quiet accumulation into the base despite lack of RS line confirmation. However, inst_own data unavailable from this feed - cannot confirm institutional positioning. Zero insider buying in last 60 days provides no conviction signal. Float is tight (15.8M) which amplifies breakout moves but also downside volatility.

KEY RISK

Thesis invalid on a close below the \$65.50 base low (5% below current), or on a revenue miss/guidance cut at the Aug 10 print - the elevated valuation (51x fwd P/E, 6.1x P/S) requires continued 30%+ growth to justify multiples.

Volume contraction is genuine and the 3-day earnings catalyst creates event asymmetry, but critical flaws prevent higher grade: RS vs SPY is deeply negative (-9.2%), RS line nowhere near new high, base_tight at 4.93 is loose by VCP standards, and the stock is underperforming in a sector (Technology) that's otherwise leading. The bear case is straightforward - this is a richly valued small-cap with inconsistent beat history reporting into a market rewarding mega-cap quality; a miss craters the setup. No insider buying adds no conviction. Watch for post-earnings reaction; if it gaps up on volume and RS line inflects, revisit for potential B-grade promotion. Conviction: Low.

NYAX — 90D Base Setup | Pivot: \$70.75 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)

